

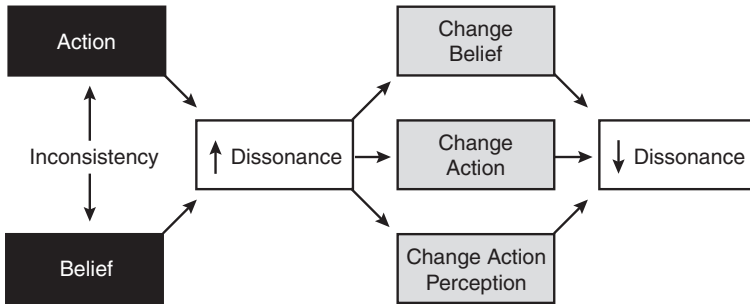


FIGURE 18.1 Trading Is Hazardous to Your Wealth

Source: Reprinted with permission by Blackwell Publishing, from Brad M. Barber and Terrance Odean, "Trading Is Hazardous to Your Wealth," *Journal of Finance* (April 2000).

In general, the stocks that individual investors sell go on to earn greater returns than the stocks with which investors replace them. The stocks men chose to purchase underperformed those they chose to sell by 20 basis points per month. For women, the figure was 17 basis points per month. In the end, Barber and Odean summarized overconfidence as a factor that is "hazardous to your wealth." They concluded that "individuals turn over their common stock investments about 70 percent annually." Mutual funds have similar turnover rates. Yet, those individuals and mutual funds that trade most earn lowest returns. They believe that there is a simple and powerful explanation for the high levels of counterproductive trading in financial markets: overconfidence.⁴

DIAGNOSTIC TESTING

This is a diagnostic test for both prediction overconfidence and certainty overconfidence. If you are an investor, take the test and then interpret the results. If you are an advisor, ask your client to take these tests and then discuss the results with you. After analyzing the test results in the next section, we will offer advice on how to overcome the detrimental effects of overconfidence.

Prediction Overconfidence Bias Test

Question 1: Give high and low estimates for the average weight of an adult male sperm whale (the largest of the toothed whales) in tons.